



Insurance

INSURANCE FOR THE LIVING

INTERIM FINANCIAL STATEMENTS

30 SEPTEMBER 2018



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 September

		Three Months Ended 30 September 2018 Unaudited Rs	Three Months Ended 30 September 2017 Unaudited Rs
	Note		
Revenue		384,673,087	327,922,558
Gross written premium	3	333,911,721	281,458,551
Premium ceded to reinsurers	3	(11,416,923)	(675,846)
Net written premium		322,494,798	280,782,705
Other Revenue			
Fee and Commission Income	3	7,139,288	5,246,399
Income from investments	5	53,506,402	40,765,949
Realise Gain	3	-	(514,385.53)
Other Income	3	1,532,599	1,641,891
Total Other revenue		62,178,290	47,139,852
Net Income		384,673,087	327,922,558
Net insurance benefits and claims paid		(30,906,035)	(30,091,836)
Net change in insurance claims outstanding		(4,633,897)	102,437
Underwriting and Net Acquisition Costs		(141,193,029)	(97,744,094)
Change in Contract Liabilities - Life Fund		(103,769,569)	(113,060,253)
Other operating and administrative expenses		(87,081,466)	(73,170,739)
Net benefits and claims		(367,583,996)	(313,964,484)
Profit/(Loss) before tax		17,089,091	13,958,074
Income tax expense		-	-
Profit/(Loss) for the Period		17,089,091	13,958,074

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 September

		Three Months Ended 30 September 2018 Unaudited	Three Months Ended 30 September 2017 Unaudited
	Notes	Rs	Rs
Profit / (Loss) for the year		17,089,091	13,958,074
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(169,376)	(9,379,079)
Fair value movement of AFS reserve transferred to life fund		169,376	9,379,079
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		17,089,091	13,958,074

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2018 Unaudited Rs	Nine Months Ended 30 September 2017 Unaudited Rs
	<u>Note</u>		
Revenue		1,144,613,955	801,412,576
Gross written premium	3	1,001,826,560	689,733,962
Premium ceded to reinsurers	3	(28,673,270)	(19,984,794)
Net written premium		973,153,290	669,749,168
Other Revenue			
Fee and Commission Income	3	20,222,480	13,986,335
Income from investments	5	146,604,545	113,019,999
Realise Gain	3	-	783,488
Other Income	3	4,633,640	3,873,586
Total Other revenue		171,460,665	131,663,409
Net Income		1,144,613,955	801,412,576
Net insurance benefits and claims paid		(93,313,923)	(79,290,279)
Net change in insurance claims outstanding		(3,597,273)	(1,354,359)
Underwriting and Net Acquisition Costs		(418,950,960)	(247,406,478)
Change in Contract Liabilities - Life Fund		(335,512,083)	(263,197,236)
Other operating and administrative expenses		(245,050,002)	(172,474,372)
Net benefits and claims		(1,096,424,241)	(763,722,724)
Profit/(Loss) before tax		48,189,714	37,689,853
Income tax expense		-	-
Profit/(Loss) for the Period		48,189,714	37,689,853

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2018 Rs	Nine Months Ended 30 September 2017 Rs
	Notes		
Profit / (Loss) for the year		48,189,714	37,689,853
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		831,271	(16,609,043)
Fair value movement of AFS reserve transferred to life fund		(831,271)	16,609,043
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		48,189,714	37,689,853

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 September 2018

	Notes	30-Sep-18 Unaudited Rs.	31-Dec-17 Audited Rs.
Assets			
Property, Plant and Equipment		66,735,114	57,597,796
Financial Assets	7	1,881,937,360	1,346,980,154
Loans to Life Policy Holders		217,683,837	157,711,170
Reinsurance Receivable		27,583,844	20,702,073
Amounts due from related party		18,426,111	181,589
Premium Receivable		70,338,032	105,775,413
Other Assets		111,401,580	94,318,212
Cash and Cash Equivalents		169,105,511	320,778,531
Total Assets		2,563,211,389	2,104,044,938
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		305,821,868	257,632,154
Total Shareholders' Equity		981,386,738	933,197,024
Liabilities			
Insurance Provision - Life	8	1,361,800,353	1,025,457,000
Employee Benefit Obligation		8,713,352	6,568,317
Reinsurance Creditors		44,628,154	30,859,018
Amounts Due to Related Party	10	7,106,367	9,694,866
Financial Liabilities		115,024,748	72,456,338
Other liabilities		44,551,675	25,812,375
Total Liabilities		1,581,824,651	1,170,847,914
Total Liabilities and Shareholders' Equity		2,563,211,389	2,104,044,938

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



Manager Finance
(Iroshini Edirisinghe)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Director
(Viville Perera)



Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

12 November 2018
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Nine Months Ended 30 September

	Notes	2018 Rs.	2017 Rs.
Operating activities			
Premium received from customers		1,037,263,941	658,113,726
Payment to ReInsurer		(14,904,133)	(11,612,489)
Claims paid		(110,705,982)	(69,302,619)
Cash received from Reinsurer		14,973,133	-
Payment to suppliers and others		(507,916,664)	(313,749,548)
Cash Inflow from Operating Activities		418,710,295	263,449,071
Tax Paid		(11,283,483)	(7,584,420)
Net Cash Flows from Operating Activities		407,426,812	255,864,650
Investing activities			
Purchase of property and equipment		(24,142,626)	(31,680,621)
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		(534,957,206)	(235,759,538)
Net cash flows used in investing activities		(559,099,832)	(267,440,159)
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Dividend payment		-	(23,817,105)
Net cash flows used in financing activities		-	(23,817,105)
Net (decrease)/increase in cash and cash equivalents		(151,673,020)	(35,392,614)
Cash and cash equivalents at 1 January		320,778,531	106,504,318
Cash and cash equivalents at 30 September		169,105,511	71,111,704
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		406,157	270,818
Cash at Bank		168,699,354	70,840,887
Short Term Investments		-	-
		169,105,511	71,111,704
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		169,105,511	71,111,704

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Nine Months Ended 30 September

	Stated Capital Rs.	AFS reserve Rs.	Revenue Reserve Rs.	Total Rs.
Balance as at 1 January 2017	675,564,870	-	79,145,019	754,709,889
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	37,689,853	37,689,853
Dividend Declared			(26,492,163)	(26,492,163)
Unaudited Balance as at 30 September 2017	675,564,870	-	90,342,709	765,907,579
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Dividend Declared	-	-	-	-
Other Comprehensive Income	-	-	(1,033,916)	(1,033,916)
Net profit for the period	-	-	168,323,360	168,323,360
Audited Balance as at 31 December 2017	675,564,870	-	257,632,154	933,197,023
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	48,189,714	48,189,714
Dividend Declared	-	-	-	-
Unaudited Balance as at 30 September 2018	675,564,870	-	305,821,868	981,386,737

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 30th September 2018 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2017 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Nine Months Ended 30 September Unaudited 2018 Rs	NineMonths Ended 30 September Unaudited 2017 Rs	Three Months Ended 30 September Unaudited 2018 Rs	Three Months Ended 30 September Unaudited 2017 Rs
3. REVENUE					
	Notes				
Gross Written Premium	4(a)	1,001,826,560	689,733,962	333,911,721	281,458,551
Premium Ceded to Reinsurers	4(b)	(28,673,270)	(19,984,794)	(11,416,923)	(675,846)
Net Written Premium		973,153,290	669,749,168	322,494,798	280,782,705
Fees and commission income		20,222,480	13,986,335	7,139,288	5,246,399
Investment income		146,604,545	113,019,999	53,506,402	40,765,949
Other operating revenue		4,633,640	3,873,586	1,532,599	1,641,891
Realise Gain		-	783,488	-	(514,386)
Total Revenue		1,144,613,955	801,412,576	384,673,087	327,922,558
		Nine Months Ended 30 September Unaudited 2018 Rs	Nine Months Ended 30 September Unaudited 2017 Rs	Three Months Ended 30 Sep Unaudited 2018 Rs	Three Months Ended 30 Sep Unaudited 2017 Rs
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
Conventional Policies		1,001,826,560	689,733,962	333,911,721	281,458,551
Total gross written premiums		1,001,826,560	689,733,962	333,911,721	281,458,551
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional Policies		(28,673,270)	(19,984,794)	(11,416,923)	(675,846)
Total premiums ceded to reinsurers		(28,673,270)	(19,984,794)	(11,416,923)	(675,846)
Total net written premiums		973,153,290	669,749,168	322,494,798	280,782,705
		Nine Months Ended 30 September Unaudited 2018 Rs	Nine Months Ended 30 September Unaudited 2017 Rs	Three Months Ended 30 September Unaudited 2018 Rs	Three Months Ended 30 September Unaudited 2017 Rs
5. INVESTMENT INCOME					
Available-for-sale financial assets					
Interest income		49,542,286	52,212,428	16,146,792	17,821,416
Loans and receivables interest income		97,062,259	60,807,572	37,359,610	22,944,533
Total investment income		146,604,545	113,019,999	53,506,402	40,765,949

Arpico Insurance PLC

Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Nine Months Ended 30 September Unaudited 2018 Rs	Nine Months Ended 30 September Unaudited 2017 Rs
Profit /(Loss) for the year	48,189,714	37,689,853
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.71	0.56

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	30-Sep-18 Unaudited Rs	31-Dec-17 Audited Rs
Loans and receivables	1,552,572,993	1,025,127,561
Available-for-sale financial assets	329,364,367	321,852,593
Total financial instruments	1,881,937,360	1,346,980,154

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Sep-18 Carrying value Unaudited Rs	30-Sep-18 Fair value Unaudited Rs	31-Dec-17 Carrying value Audited Rs	31-Dec-17 Fair value Audited Rs
Loans and receivables	7 (a). 1,552,572,993	1,552,572,993	1,025,127,561	1,025,127,561
Available-for-sale financial assets	7 (b). 329,364,367	329,364,367	321,852,593	321,852,593
Total financial instruments	1,881,937,360	1,881,937,360	1,346,980,154	1,346,980,154

7 (a). Loans and receivables

	30-Sep-18 Unaudited Rs	31-Dec-17 Audited Rs
Investment in Corporate Debt	762,031,027	584,079,538
Investment in Fixed Deposit	233,896,779	120,983,216
Investment in Repos	545,064,023	360,064,808
Investment in Commercial Papers	51,581,164	
	1,592,572,993	1,065,127,561
Provision for Impairment	(40,000,000)	(40,000,000)
	1,552,572,993	1,025,127,561

7 (b). Available for sale financial assets

	30-Sep-18 Unaudited Rs	31-Dec-17 Audited Rs
Investments in Government Securities	329,364,367	321,852,593
	329,364,367	321,852,593

8. INSURANCE CONTRACT LIABILITIES	30-Sep-18 Unaudited Rs	31-Dec-17 Audited Rs
Balance as at beginning		
Change in contract liabilities life fund	1,025,457,000	726,047,856
Increase in Life insurance fund before surplus transfer	8 (a) 335,512,083	436,459,576
Surplus transferred from share holders	-	(155,945,927)
Increase in Life insurance fund	335,512,083	280,513,649
Movement in AFS reserve transferred to life fund	831,271	18,895,495
Balance as at end of the Periods	1,361,800,353	1,025,457,000

8 (a) Increase in Life insurance fund before surplus transfer

	2018 September (Unaudited)		
	Gross Insurance Contract Liabilities	Reinsurance on contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,001,826,560	(28,673,270)	973,153,290
Liabilities paid for death, benefits and claims	(118,766,101)	21,854,905	(96,911,197)
Underwriting and Net Acquisition Costs	(418,950,960)		(418,950,960)
Fees (deducted)/received	24,856,120		24,856,120
Investment return	98,414,830		98,414,830
Realise Gain	-		-
Other operating and administrative expenses	(245,050,001)		(245,050,001)
As at 30 September 2018	342,330,448	(6,818,365)	335,512,083

	2017 December (Audited)		
	Gross Insurance Contract Liabilities	Reinsurance on contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,038,085,079	(28,370,148)	1,009,714,932
Liabilities paid for death, benefits and claims	(145,195,117)	25,438,070	(119,757,047)
Underwriting and Net Acquisition Costs	(352,294,910)	-	(352,294,910)
Fees (deducted)/received	13,936,980	-	13,936,980
Investment return	114,709,199	-	114,709,199
Realise Gain	85,349	-	85,349
Other operating and administrative expenses	(229,934,931)	-	(229,934,931)
As at 31 December 2017	439,391,651	(2,932,077)	436,459,576

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2017 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

One Off Surplus

According to Solvency margin rules (Risk Based Capital) effective from 1st January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in liabilities. Our Actuary M/S Acturial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320.084 Million on the RBC basis. The one off surplus is applicable only for the non participating businesses. Company does not engage in participating business. As company has adopted a distribution basis for the liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the valuation, the Life Insurance Fund included in the Financial Statements exceed the required actuarial reserves by Rs. 155.946 Million as at 31st December 2017 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 155.946 Million has been transferred to Shareholders fund from the Life Insurance Fund in 2017.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2017 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto. Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be adequate to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Sep-18 Unaudited Rs	31-Dec-17 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	807,371	-
Richard Pieris Distributors Limited	Affiliate	4,698,275	7,212,260
Arpitech (pvt) Ltd	Affiliate	1,565,526	1,040,633
Arpico Interiors (Pvt) Ltd	Affiliate	35,196	1,441,973
RPC Logistics (Pvt) Ltd	Affiliate	-	-
		7,106,367	9,694,865

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th September 2018, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interrim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Nine months Ended 30 September

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 30th September 2018	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS PLC	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,498,283	2.26
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.H.V.SENAWEERA	440,053	0.66
7 MRS. M.P.B. FERNANDO	400,000	0.60
8 MR.S. SIVASHANTH	400,000	0.60
9 MR.B.A.R.DISSANAYAKE	200,000	0.30
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
11 MR.P.B.PERERA	156,458	0.24
12 MERCHANT BANK OF SRI LANKA & FINANCE PLC/S	154,999	0.23
13 PEOPLES LEASING & FINANCE PLC/MR.K.J.GAMAGE	150,000	0.23
14 MRS.M.S.E.V.E.A.U. VON STUMM	150,000	0.23
15 MR.F.N.HERFT	143,811	0.22
16 MR.M.L.A.BENEDICT	122,890	0.19
17 MR.S.A.OBEYESEKERE	103,300	0.16
18 MR.C.A.ELANKAINESAN	100,000	0.15
19 FLYBRUNEI SDN BHD	99,700	0.15
20 MR.T.A.N.GOMIS	82,219	0.12
	<u>64,670,115</u>	<u>97.64</u>

Public Shareholding

	As at 30th September 2018	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shares	<u>6,630,404</u>	<u>10.01</u>
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
	<u>595</u>	<u>99.33</u>

Directors' Shareholdings

There is no share holding by the directors as at As at 30th September 2018

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 30th September 2018	14.8
Highest Price Per Share for the Interim Period	20.0
Lowest Price Per Share for the Interim Period	17.0
Last traded Price Per Share as at As at 30th September 2018	18.4